

Absorption & The Trapped Seller

Volume Cluster · Delta Profile · Big Trades · LVN Defense

Continuation moves out of a swing low are not powered by new buyers alone. They are powered by **two flows pushing the same direction**: fresh aggressive buying, and forced covering from sellers who got absorbed into the lows. This document walks through the order-flow signature of that setup using three layers of the tape — **big trades** (the bubbles), **volume profile** (where the battleground is), and **delta volume profile** (who actually won the auction at each price) — and ties it to the LVN methodology for the re-trap on the pullback.

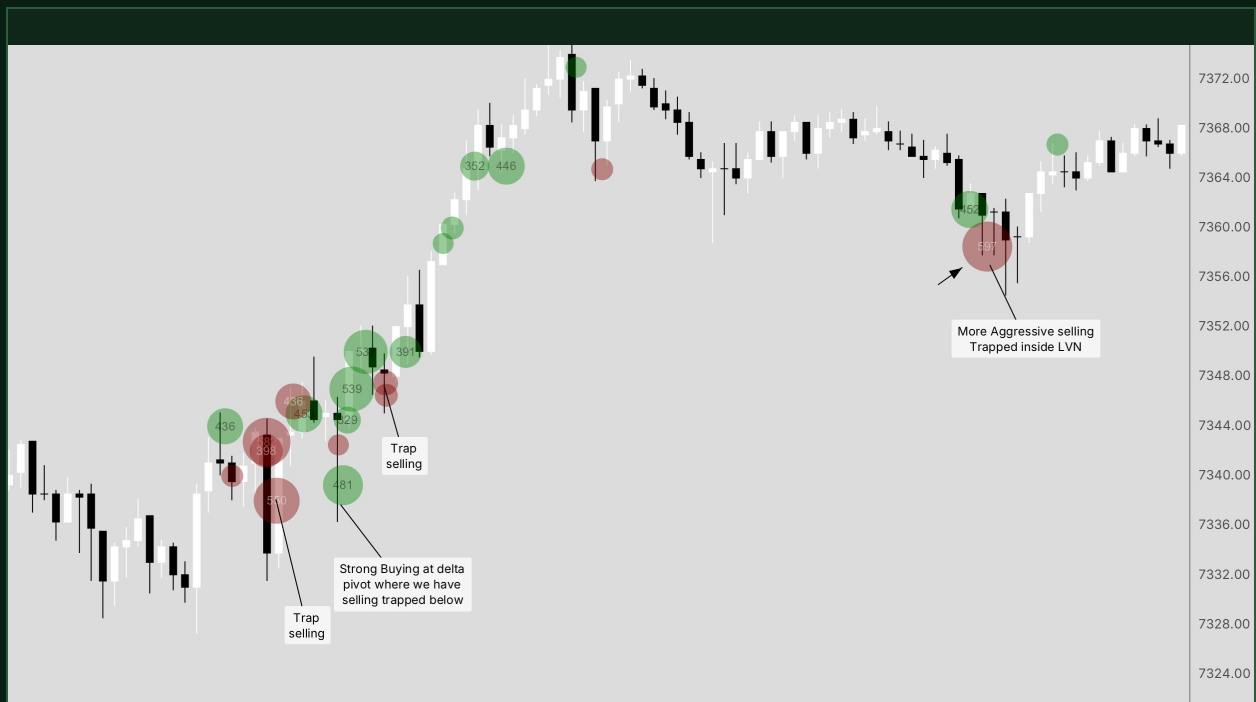


FIG. 01 · WIDER VIEW · GREEN BUBBLE = AGGRESSIVE BUY AT OFFER · RED BUBBLE = AGGRESSIVE SELL AT BID · NUMBER = CONTRACTS

Reading the Bubbles

Each bubble on Figure 1 is a **single large trade** that crossed the spread with size. Not delta. Not a profile. One print of aggression. The color tells you which side of the book got hit, and the number is the contract size of that one print.

GREEN BUBBLE

Large **buy** order executed **at the offer**. Aggressive buyer paid up to take liquidity from the ask side. They wanted in immediately.

RED BUBBLE

Large **sell** order executed **at the bid**. Aggressive seller hit the bid to get filled. They wanted out (or short) immediately.

Big trades are **real-time signals** — who got aggressive, when, and how big. But on their own they are just data points. The read comes from putting them next to the volume structure they landed in and the delta imbalance they built.

Where vs. Who Won

VOLUME PROFILE

LEFT SIDE OF FIG. 02

Total volume traded at each price level — buyers and sellers combined. Tells you **where** the action happened. A high-volume node confirms a real battleground. A low-volume node (LVN) is thin pass-through where price traveled fast.

DELTA VOLUME PROFILE

RIGHT SIDE OF FIG. 02

Volume profile split by direction. Net delta at each price — ask volume minus bid volume. **Blue/purple** = positive delta (aggressive buyers won the auction). **Red/pink** = negative delta (aggressive sellers won). The number is the size of the imbalance in contracts. Tells you **who won** at each price.

A normal volume profile is direction-blind. A high-volume node could be 90% buying or 90% selling and look identical. Delta volume profile separates the two and tells you which side actually controlled the auction at that price.

The Trapped Sellers, Up Close

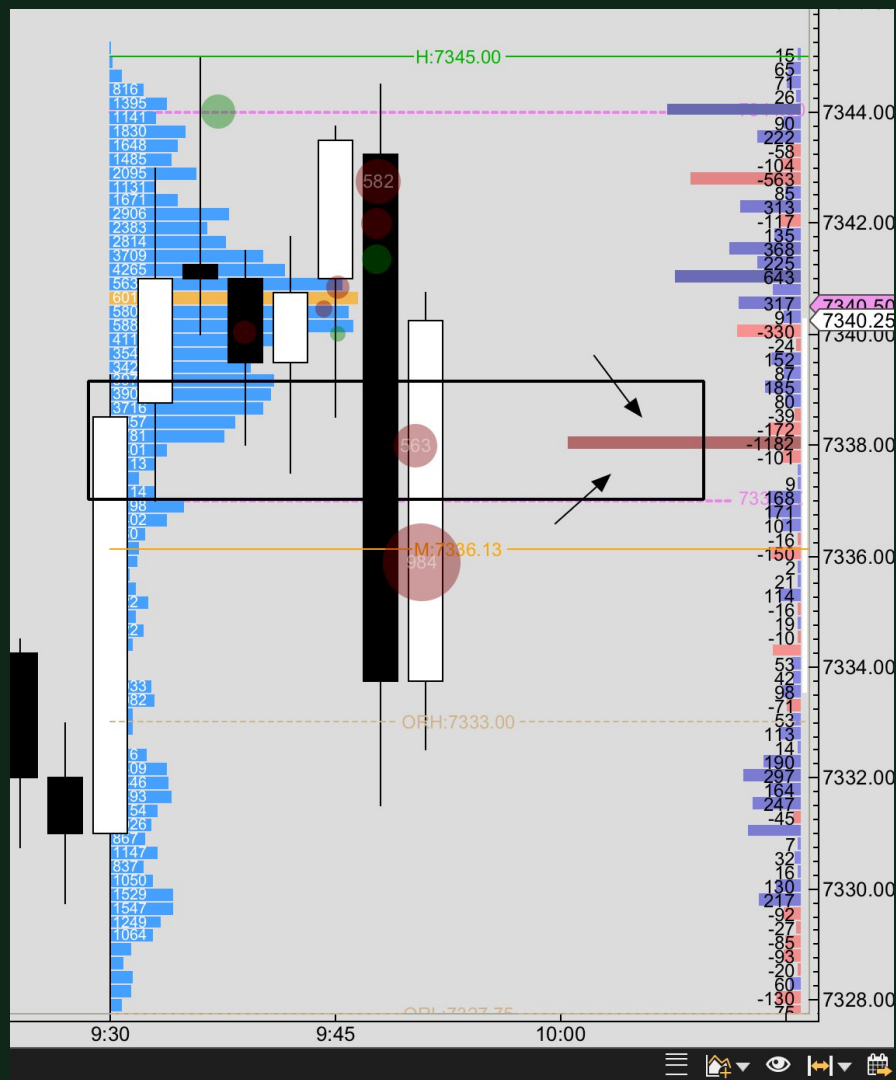


FIG. 02 • REAL-TIME ZOOM • VOLUME PROFILE (BLUE, LEFT) • DELTA VOLUME PROFILE (RIGHT)
• BOX HIGHLIGHTS -1,182 NET DELTA AT 7338

Look at the boxed area on Figure 2. The delta volume profile on the right shows a **-1,182 net negative delta** reading at 7338. Aggressive sellers hit the bid with 1,182 more contracts than aggressive buyers lifted the offer at that exact price.

Now look at the big-trade bubbles right inside that same zone — **563** red at 7338, **984** red just below at 7336. Those are the prints that *built* the -1,182 cluster. The 582 red at 7341 fed it too. Real, committed, one-sided aggression.

THE DECISIVE OBSERVATION: after all that aggressive selling, price is right back at 7340. Over a thousand contracts of net sell aggression went into that level, and the market did not break lower — it returned to where the selling started. That is **absorption**. Passive buyers sitting on the bid (large limit orders, often refilled iceberg-style) soaked up every market sell that came through. The sellers got their fills. They did not get the move.

How the Trap Closes

Stuck supply alone is not a trade. Sellers can sit underwater for a long time if the buyers never show up. The trap only closes when something on the other side fires back. On Figure 2, look directly above the boxed -1,182 zone:

- **+90, +222, +313, +135, +368, +225, +643** — a stack of positive delta readings between 7340 and 7344. These are the buyers who turned on. Aggressive buy orders lifting the offer, building real positive imbalance directly above the trapped supply.
- On Figure 1 (the wider view), this same flip appears as the green bubbles — 481, 539, 329, 436, 531 — firing at the delta-pivot annotation. Same event, two different lenses.

WHY ABSORPTION + TRAPPED SELLERS + NEW BUYING = FUEL HIGHER

Two Flows, Same Direction

A continuation move from a trapped-seller setup is powered by **two distinct flows pushing price the same direction**, not just one. That is what makes it impulsive instead of grindy.

FLOW 01 • NEW AGGRESSIVE BUYING

Fresh longs lifting the offer. The +90, +222, +313, +643 positive delta you see on Figure 2 above the trap. They want price higher and add upward pressure tick by tick. Each lift also flips the delta imbalance, signaling other participants that the tape has turned.

FLOW 02 • TRAPPED SHORTS COVERING

The 1,182 contracts of net sellers at 7338 are now offside. To exit a short, you have to **buy**. Their stops sit stacked overhead. So the same traders who hit the bid at 7338 are now **forced** market buyers at 7345, 7355, 7365...

This is the asymmetry. A normal rally only has Flow 01 — willing buyers paying up. A rally out of a trapped-seller cluster has Flow 01 *and* Flow 02, and Flow 02 is **forced**. Trapped shorts do not get to wait for a better price. Take the loss now or take a bigger one later. Their stops become buy orders. Those buy orders lift the offer. That triggers more stops. The feedback loop is what produces the impulsive, low-pullback continuation visible on Figure 1 from 7344 up to 7372.

The 597 Print at 7360

After price runs from 7344 to 7372, it pulls back. On the pullback, a **597 red bubble** fires inside the low-volume node around 7358–7360 — labeled on Figure 1 as “*More Aggressive selling Trapped inside LVN.*” This is the re-trap, and it follows the LVN methodology exactly.

An **LVN** is a price area the market traveled through quickly on the way up — thin structure, no real volume shelf, no defended delta cluster. Aggressive sellers stepping into an LVN have nothing structural beneath them. The bid steps right back, and they immediately become the next trapped pool. Their forced covering powers the move from 7360 into 7377+.

METHODOLOGY • QUICK REFERENCE • EDITION 02

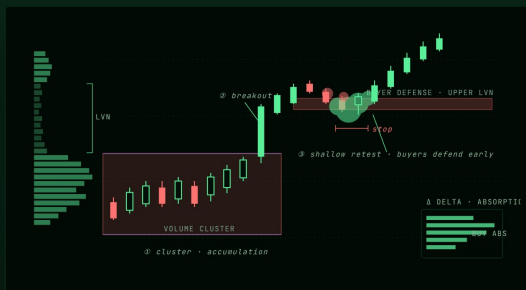
The LVN Model

Volume Cluster • Edge Break • LVN Defense

DEFEND • THE • EDGE

SETUP 01 LONG

Breakout • LVN Defended by Buyers



A volume cluster forms an HVN. Price **breaks out above the upper cluster edge** into the thin LVN above. On a **shallow pullback** — price retraces only the upper portion of the LVN before reversing — **big green prints** step in early and the delta confirms one-sided **buyer absorption**. Defense well before the cluster edge is the strongest tell — **continuation higher = long entry confirmed**.

SETUP 02 SHORT

Breakdown • LVN Defended by Sellers



A volume cluster forms an HVN. Price **breaks down below the lower cluster edge** into the thin LVN below. On a **shallow pullback** — price retraces only the lower portion of the LVN before reversing — **big red prints** step in early and the delta confirms one-sided **seller absorption**. Defense well before the cluster edge is the strongest tell — **continuation lower = short entry confirmed**.

Pre-Trade Checklist • *The Five Boxes*

TICK ALL 5 — OR PASS

- ☐ 01 A **volume cluster** (HVN) is mapped — both upper and lower edges of the cluster are clearly defined on the profile.
- ☐ 02 Price has **broken cleanly** through one cluster edge into the adjacent LVN — a body close beyond the edge, not a wick poke.
- ☐ 03 Price retraces back into the LVN — but **only shallowly**. The pullback stalls early, well before the cluster edge, leaving most of the LVN unfilled.
- ☐ 04 **Big trade prints** fire at the retest in the defense direction — green bubbles for longs, red bubbles for shorts.
- ☐ 05 Delta profile shows **one-sided absorption** — opposing flow is eaten and price **refuses to re-enter the cluster**.
- ☐ 06 **Stop sits just inside the cluster** (beyond the broken edge). Targets: opposite end of the LVN, then the next HVN beyond.

THE LVN MODEL • QUICK REFERENCE

TRADE WHAT THE TAPE SHOWS

EDITION 02

FIG. 03 • THE LVN MODEL REFERENCE • VOLUME CLUSTER → EDGE BREAK → LVN DEFENSE

Mapping the Setup to the Model

The LVN model formalizes the absorption-into-LVN mechanic. Here is how the chart maps to it, step by step:

- | | |
|---|--|
| 0 | Volume cluster (HVN) is mapped. The 7338–7344 zone is a high-volume node — |
| 1 | Figure 2's volume profile (blue bars on the left) is thick through this range. Real battleground, both edges identifiable. |
| 0 | Price breaks cleanly through the upper cluster edge. Buyers drive price out of the |
| 2 | cluster, through ~7344, and into the thin LVN above (7344–7360). Body close beyond the edge, not a wick poke. |
| 0 | Shallow pullback into the LVN. Price runs to 7372, then retraces only into the upper |
| 3 | portion of the LVN — down to ~7358–7360. Most of the LVN stays unfilled. This is the <i>shallow retest</i> the model calls for. |
| 0 | Big trade prints fire at the retest in the defense direction. In this case the defense |
| 4 | direction is <i>up</i> (continuation higher), so we want green prints stepping in — and the 452 green appears right at the retest. The 597 red is the late short walking into the trap, not the defenders. |
| 0 | Delta profile shows one-sided absorption. Same structural mechanic as the original |
| 5 | low: aggressive selling at 7360 fails to push price back into the cluster. Buyers absorb, price refuses to re-enter the HVN below, and the next leg fires. |

How the Setup Fails

The thesis lives or dies on the **no follow-through** condition. If any of these break, the read is wrong:

- × A big red print at the low **does** produce a lower low. That is not absorption — that is real supply, and the delta cluster will keep growing. Stand aside or flip bias.
- × Price slices back through the delta pivot on heavy two-sided rotation. The buyers who turned on get tapped out, and now **they** are the trapped pool. Fuel reverses.
- × Positive delta never builds above the trap. A drift higher with no aggressive buying behind it is short-covering only. Those rallies tend to fail on the first real test of supply.

BOTTOM LINE. Big trades tell you who got aggressive and when. Volume profile tells you where the real battleground is. Delta volume profile tells you which side actually won the auction at that price. The LVN model tells you how the same mechanic re-fires on the pullback. On this setup, all four say the same thing: aggressive sellers fired over 1,100 net contracts into 7338, the bid absorbed every one of them, buyers turned on with positive delta directly above, the move extended through the upper cluster edge, and a re-trap inside the LVN at 7360 powered the final extension to 7377+. You are not betting on a rally — you are positioning in front of one the order flow is structurally compelling the market to produce.